



CFA Institute

Practical Skills Module: Financial Modeling

Blu Containers Company

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Financial Model Worksheet - Vertical Orientation

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Powered by:



FINANCIALMODELING
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Blu Containers Company

Summary Outputs

SUMMARY VALUES - BASE CASE

Income Statement Items									
Net Revenue		\$214	\$237	\$205	\$252	\$234	\$281	\$281	\$268
Growth			10.8%	(13.4%)	23.3%	(7.5%)	20.4%	(0.0%)	(4.6%)
EBITDA		\$50	\$68	\$33	\$74	\$47	\$86	\$77	\$54
Margin		23.5%	28.9%	16.2%	29.3%	20.2%	30.7%	27.3%	20.3%
Growth			36.3%	(51.6%)	123.2%	(36.2%)	83.5%	(11.3%)	(29.2%)
Net Income		\$14	\$24	\$2	\$30	\$13	\$39	\$33	\$19
Margin		6.6%	10.0%	1.1%	11.8%	5.5%	13.9%	11.9%	7.2%
Growth			68.1%	(90.7%)	1250.2%	(56.5%)	202.5%	(14.6%)	(41.8%)

SUMMARY VALUES - BEST CASE

Income Statement Items									
Net Revenue		\$214	\$237	\$205	\$264	\$245	\$298	\$301	\$282
Growth			10.8%	(13.4%)	29.0%	(7.3%)	21.5%	1.1%	(6.4%)
EBITDA		\$50	\$68	\$33	\$86	\$59	\$104	\$97	\$71
Margin		23.5%	28.9%	16.2%	32.4%	24.2%	34.8%	32.2%	25.2%
Growth			36.3%	(51.6%)	158.7%	(30.7%)	74.6%	(6.5%)	(26.7%)
Net Income		\$14	\$24	\$2	\$37	\$21	\$50	\$46	\$30
Margin		6.6%	10.0%	1.1%	14.1%	8.5%	16.9%	15.5%	10.7%
Growth			68.1%	(90.7%)	1597.6%	(44.1%)	140.8%	(7.5%)	(34.9%)

SUMMARY VALUES - WORST CASE

Income Statement Items									
Net Revenue		\$214	\$237	\$205	\$239	\$220	\$263	\$260	\$245
Growth			10.8%	(13.4%)	16.5%	(7.6%)	19.3%	(1.1%)	(5.9%)
EBITDA		\$50	\$68	\$33	\$61	\$34	\$68	\$56	\$33
Margin		23.5%	28.9%	16.2%	25.6%	15.5%	26.0%	21.6%	13.6%
Growth			36.3%	(51.6%)	84.3%	(44.2%)	100.9%	(18.0%)	(40.9%)
Net Income		\$14	\$24	\$2	\$21	\$4	\$27	\$20	\$6
Margin		6.6%	10.0%	1.1%	8.9%	2.0%	10.4%	7.7%	2.3%
Growth			68.1%	(90.7%)	870.2%	(79.2%)	515.5%	(27.1%)	(71.7%)

Blu Containers Company

Inputs and Assumptions

- First year of forecast in financial model: **2023**
- Three scenarios have been used for Inflation, Product Pricing and sales volume growth

Stock Price - 10/06/25 **\$11.50**
 Fully Diluted Shares O/S (MM) - Dec. 31, 2022 **14.80**
 Common Dividend Payout Rate **20.0%**

- The product pricing cases used in the model are as follows:

Pricing Case **2023 - 2027**

Base Case Research Forecast
 Best Case **+4.0%**
 Worst Case **(4.0%)**

Annual Factory Capacity (000's units): **420**

Capacity Constraint - op rate **96%**

Cost Item	2023	Increases
Raw Materials	\$226.0 per Unit	Inflation on a unit basis
Utilities	\$66.2 per Unit	Inflation on a unit basis
Rent	\$23.5 MM	Inflation on a total basis
Operating Labour	\$43.5 MM	Inflation on a total basis
Other	\$2.0 MM	Inflation on a total basis
SG&A	\$3.9 MM	Inflation on a total basis

Interest earned on Cash balances: **1.0%**
 Interest rate on Bank Revolver: **6.0%**
 Interest rate on Senior Secured Term Debt: **6.0%**

- Depreciation Methodology Used: **Straight Line**
- Years remaining for depreciation of existing assets: **25 years**
- Years used for depreciation of new assets: **30 years**

Tax rate assumed in the model: **35.0%**
 Additional tax assumptions in "Other Assumptions" box

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Inputs and Assumptions

Income Statement						
Cost Adjustments - Gain/(Loss)	MM	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Cash Flow Statement						
Investing Activities - Other	MM	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Capital Expenditures	MM	\$16.0	\$17.0	\$17.3	\$17.5	\$18.0
Income Tax						
Reduction in EBT for timing differences	MM	\$5.0	\$5.0	\$5.0	\$5.0	\$5.0
Working Capital Days						
Accounts Receivable	days	48.0	44.0	40.0	40.0	40.0
Inventories	days	70.0	65.0	60.0	60.0	55.0
Prepaid Expenses	days	30.0	30.0	30.0	30.0	30.0
Other Assets	days	3.0	3.0	3.0	3.0	3.0
Accounts Payable	days	40.0	40.0	40.0	40.0	40.0
Other Liabilities	days	10.0	10.0	10.0	10.0	10.0
Change in Debt & Equity						
Senior Term Debt Issuance / (Repayment)	MM	(\$25.0)	(\$25.0)	(\$25.0)	(\$25.0)	(\$25.0)
Common Stock Issuance / (Buy-back)	MM	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0

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Economic and Sales Scenarios

SCENARIO SWITCH:	Worst Case	▼	2023	2024	2025	2026	2027
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ECONOMIC SCENARIOS

Cost Inflation	2.0%	2.5%	2.5%	3.0%	2.5%
Base Case	2.0%	2.0%	2.0%	2.5%	2.5%
Best Case	1.5%	1.5%	1.5%	2.0%	2.5%
Worst Case	2.0%	2.5%	2.5%	3.0%	2.5%

SALES SCENARIOS

Sales Price - \$/Unit	768.0	696.0	792.0	768.0	720.0
Base Case	800.0	725.0	825.0	800.0	750.0
Best Case: +4.0%	832.0	754.0	858.0	832.0	780.0
Worst Case: -4.0%	768.0	696.0	792.0	768.0	720.0

Sales Volume Growth	4.0%	4.0%	3.0%	3.0%	2.0%
Base Case	5.0%	4.0%	4.0%	4.0%	4.0%
Best Case	5.0%	4.0%	5.0%	5.0%	4.0%
Worst Case	4.0%	4.0%	3.0%	3.0%	2.0%

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Revenue Schedule

		2020A	2021A	2022A	<i>Projected</i>				
					2023	2024	2025	2026	2027
Pricing									
Gross Sales Price	(\$/unit)			694.4	768.0	696.0	792.0	768.0	720.0
Cost Inflation	(%)				2.0%	2.5%	2.5%	3.0%	2.5%
Freight & Warehousing	(\$/unit)			100.0	102.0	104.6	107.2	110.4	113.1
Net Sales Price	(\$/unit)			594.4	666.0	591.5	684.8	657.6	606.9
Sales Volume									
Annual Factory Capacity	(000's units)				420.0	420.0	420.0	420.0	420.0
Sales Volume Growth	(%)				4.0%	4.0%	3.0%	3.0%	2.0%
Annual Sales Volume	(000's units)			344.5	358.2	372.6	383.8	395.3	403.2
Implied Operating Rate					85.3%	88.7%	91.4%	94.1%	96.0%
Revenue									
Gross Revenue	(\$ MM)			239.2	275.1	259.3	303.9	303.6	290.3
Freight & Warehousing	(\$ MM)			34.4	36.5	39.0	41.1	43.6	45.6
Net Revenue	(\$ MM)			\$204.8	\$238.6	\$220.4	\$262.8	\$259.9	\$244.7

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Costs of Production Schedule

		2020A	2021A	2022A	Projected				
					2023	2024	2025	2026	2027
Annual Sales Volume	(000's units)			344.5	358.2	372.6	383.8	395.3	403.2
Cost Inflation	(%)					2.5%	2.5%	3.0%	2.5%

COSTS PER UNIT

1	Variable Costs								
	Raw Materials	(\$/unit)			226.0	231.7	237.4	244.6	250.7
	Utilities	(\$/unit)			66.2	67.9	69.6	71.6	73.4
	Total Variable Costs	(\$/unit)			292.2	299.5	307.0	316.2	324.1
4	Fixed Costs								
	Rent	(\$/unit)			65.6	64.7	64.3	64.3	64.7
	Operating Labour	(\$/unit)			121.4	119.7	119.1	119.1	119.7
	Other	(\$/unit)			5.6	5.5	5.5	5.5	5.5
	Total Fixed Costs	(\$/unit)			192.6	189.8	188.9	188.9	189.8
	Total Costs	(\$/unit)			\$484.8	\$489.3	\$495.9	\$505.1	\$513.9

COSTS IN MILLIONS

2	Variable Costs								
	Raw Materials	(\$ MM)			81.0	86.3	91.1	96.7	101.1
	Utilities	(\$ MM)			23.7	25.3	26.7	28.3	29.6
	Total Variable Costs	(\$ MM)			104.7	111.6	117.8	125.0	130.7
3	Fixed Costs								
	Rent	(\$ MM)			23.5	24.1	24.7	25.4	26.1
	Operating Labour	(\$ MM)			43.5	44.6	45.7	47.1	48.3
	Other	(\$ MM)			2.0	2.1	2.1	2.2	2.2
	Total Fixed Costs	(\$ MM)			69.0	70.7	72.5	74.7	76.5
	Total Costs	(\$ MM)			\$173.7	\$182.3	\$190.3	\$199.7	\$207.2

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Income Statement

(\$ Millions)

	2020A	2021A	2022A	<i>Projected</i>				
				2023	2024	2025	2026	2027
Sales Volume (000's units)			344.5	358.2	372.6	383.8	395.3	403.2
Revenue								
Gross Revenue	244.8	269.3	239.2	275.1	259.3	303.9	303.6	290.3
Freight & Warehousing	31.3	32.7	34.4	36.5	39.0	41.1	43.6	45.6
Net Revenue	213.5	236.6	204.8	238.6	220.4	262.8	259.9	244.7
Cost of Sales	159.9	164.6	167.9	173.7	182.3	190.3	199.7	207.2
S,G & A	3.4	3.6	3.8	3.9	4.0	4.1	4.2	4.3
Total Costs	163.3	168.2	171.7	177.6	186.3	194.4	203.8	211.5
Cost Adjustments - Gain/(Loss)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA	50.2	68.4	33.1	61.0	34.1	68.4	56.1	33.2
Depreciation	15.4	15.5	15.8	16.2	16.7	17.3	17.9	18.5
EBIT	34.8	52.9	17.3	44.8	17.3	51.1	38.2	14.7
Interest Expense	15.0	15.0	14.0	12.0	10.5	9.0	7.5	6.0
EBT	19.8	37.9	3.3	32.8	6.8	42.1	30.7	8.7
Current Income Taxes	3.0	8.0	0.0	9.7	0.6	13.0	9.0	1.3
Deferred Income Taxes	2.7	6.2	1.1	1.8	1.8	1.8	1.8	1.8
Total Income Taxes	5.7	14.2	1.1	11.5	2.4	14.7	10.8	3.0
Net Income	\$14.1	\$23.7	\$2.2	\$21.3	\$4.4	\$27.4	\$20.0	\$5.6

Margins

EBITDA Margin	23.5%	28.9%	16.2%	25.6%	15.5%	26.0%	21.6%	13.6%
EBIT Margin	16.3%	22.4%	8.4%	18.8%	7.9%	19.5%	14.7%	6.0%
Return on Equity			0.9%	7.7%	1.6%	9.1%	6.3%	1.8%

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Cash Flow Statement

(\$ Millions)

	2020A	2021A	2022A	<i>Projected</i>				
				2023	2024	2025	2026	2027
Operating Activities								
Net Income	14.1	23.7	2.2	21.345189	4.4491536	27.386393	19.97361	5.6497384
Depreciation & Amortization	15.4	15.5	15.8	16.174667	16.724667	17.296333	17.876333	18.468
Deferred Income Taxes	2.7	6.2	1.1	1.75	1.75	1.75	1.75	1.75
Changes in working capital	0.0	0.0	0.0	-0.0960432	6.194408	-0.8187844	-0.7866024	3.621582
Operating Cash Flow	32.2	45.4	19.1	39.173813	29.118228	45.613942	38.813341	29.48932
Investing Activities								
CAPEX	(14.1)	(15.0)	(15.5)	(16.00)	(17.00)	(17.30)	(17.50)	(18.00)
Other	(5.0)	4.0	3.0	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow	(19.1)	(11.0)	(12.5)	-16	-17	-17.3	-17.5	-18
Financing Activities								
Revolver Issuance / (Repayment)	0.0	0.0	0.0	5.8	13.8	2.2	7.7	14.6
Term Debt Issuance / (Repayment)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Common Shares Issuance/ (Buy-Back)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Common Dividends	(2.8)	(4.7)	(2.4)	(4.3)	(0.9)	(5.5)	(4.0)	(1.1)
Financing Cash Flow	(27.8)	(29.7)	(27.4)	(23.5)	(12.1)	(28.3)	(21.3)	(11.5)
Change in the Cash Position	(14.7)	4.7	(20.8)	(0.3)	0.0	0.0	0.0	0.0
Beginning Cash	<u>31.1</u>	<u>16.4</u>	<u>21.1</u>	<u>0.3</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>
Ending Cash	16.4	21.1	0.3	0.0	0.0	0.0	0.0	0.0

Blu Containers Company

Balance Sheet

(\$ Millions)

	2020A	2021A	2022A	<i>Projected</i>				
				2023	2024	2025	2026	2027
ASSETS								
Cash	16.4	21.1	0.3	0.0	0.0	0.0	0.0	0.0
Accounts Receivable	27.0	27.8	28.3	31.4	26.5	28.8	28.5	26.8
Inventory	36.5	36.1	35.1	33.3	32.4	31.3	32.8	31.2
Prepaid Expenses	14.6	14.4	14.9	14.3	14.9	15.6	16.4	17.0
Other	1.4	1.8	1.2	1.4	1.5	1.6	1.6	1.7
Total Current Assets	95.9	101.2	79.8	80.4	75.3	77.3	79.4	76.8
Net PP&E	398.5	398.0	397.7	397.5	397.8	397.8	397.4	397.0
Other	19.0	15.0	12.0	12.0	12.0	12.0	12.0	12.0
Total Long Term Assets	417.5	413.0	409.7	409.5	409.8	409.8	409.4	409.0
Total Assets	\$513.4	\$514.2	\$489.5	\$489.9	\$485.1	\$487.1	\$488.8	\$485.7
LIABILITIES AND EQUITY								
Bank Debt - Revolver	0.0	0.0	0.0	5.8	19.6	21.7	29.4	44.1
Accounts Payable	18.3	18.7	18.2	19.0	19.9	20.9	21.9	22.7
Other	4.7	4.9	4.8	4.8	5.0	5.2	5.5	5.7
Total Current Liabilities	23.0	23.6	23.0	29.6	44.5	47.8	56.8	72.4
Deferred Income Taxes	0.7	6.9	8.0	9.8	11.5	13.3	15.0	16.8
Senior Secured Term Debt	250.0	225.0	200.0	175.0	150.0	125.0	100.0	75.0
Total Long Term Liabilities	250.7	231.9	208.0	184.8	161.5	138.3	115.0	91.8
Total Liabilities	273.7	255.5	231.0	214.3	206.0	186.0	171.8	164.2
Common Shares	120.0	120.0	120.0	120.0	120.0	120.0	120.0	120.0
Retained Earnings	119.7	138.7	138.5	155.6	159.1	181.0	197.0	201.5
Shareholder's Equity	239.7	258.7	258.5	275.6	279.1	301.0	317.0	321.5
Total Liabilities and Equity	\$513.4	\$514.2	\$489.5	\$489.9	\$485.1	\$487.1	\$488.8	\$485.7
<i>Check</i>	<i>0.000</i>	<i>0.000</i>	<i>0.000</i>	<i>0.000</i>	<i>0.000</i>	<i>0.000</i>	<i>0.000</i>	<i>0.000</i>

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Depreciation Schedule

(\$ Millions)

		2020A	2021A	2022A	<i>Projected</i>				
					2023	2024	2025	2026	2027
Years Remaining Existing Assets:									
Depreciation Years on New Assets:									
PP&E B					397.7000	397.5253	397.8007	397.8043	397.4280
plus:capex					\$16.0	\$17.0	\$17.3	\$17.5	\$18.0
1	Depreciation to Existing Assets				\$15.9	\$15.9	\$15.9	\$15.9	\$15.9
2	CAPEX								
	2023	\$16.0			0.3	0.5	0.5	0.5	0.5
	2024	\$17.0				0.3	0.6	0.6	0.6
	2025	\$17.3					0.3	0.6	0.6
	2026	\$17.5						0.3	0.6
	2027	\$18.0							0.3
Total Depreciation					\$16.2	\$16.7	\$17.3	\$17.9	\$18.5
PP&E END				397.7	397.5	397.8	397.8	397.4	397.0

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Income Tax Schedule

(\$ Millions)

		<i>Projected</i>				
		2023	2024	2025	2026	2027
Tax Rate	35.0%					
Accounting EBT (as is on I/S)	A	\$32.8	\$6.8	\$42.1	\$30.7	\$8.7
Less: Reduction in EBT for timing differences ⁽¹⁾		5.0	5.0	5.0	5.0	5.0
Government EBT	B	\$27.8	\$1.8	\$37.1	\$25.7	\$3.7
Accounting Taxes (35% of A)		11.5	2.4	14.7	10.8	3.0
Taxes as Appearing on Income Statement						
Current Tax (35% of B)		9.7	0.6	13.0	9.0	1.3
Increase (Decrease) in Deferred Income Taxes		1.8	1.8	1.8	1.8	1.8
Total Income Taxes (Same as Accounting Taxes Above)		11.5	2.4	14.7	10.8	3.0

(1) Assumes aggregate reduction in government pre-tax earnings due to timing differences between accounting and government rules.

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Working Capital Schedule

(\$ Millions)

		2020A	2021A	2022A	Projected					
					2023	2024	2025	2026	2027	
Days per Year	(days)		365	365	365	366	365	365	365	
1 Income Statement Items										
Net Revenue	(\$ MM)		236.6	204.8	238.6	220.4	262.8	259.9	244.7	
Cost of Sales	(\$ MM)		164.6	167.9	173.7	182.3	190.3	199.7	207.2	
Days In										
Accounts Receivable	(days)		42.9	50.4	48.0	44.0	40.0	40.0	40.0	
Inventories	(days)		80.1	76.3	70.0	65.0	60.0	60.0	55.0	
Prepaid Expenses	(days)		31.9	32.4	30.0	30.0	30.0	30.0	30.0	
Other Assets	(days)		3.9	2.6	3.0	3.0	3.0	3.0	3.0	
Accounts Payable	(days)		40.7	39.6	40.0	40.0	40.0	40.0	40.0	
Other Liabilities	(days)		10.7	10.4	10.0	10.0	10.0	10.0	10.0	
Account Balances										
Accounts Receivable	(\$ MM)		27.8	28.3	31.4	26.5	28.8	28.5	26.8	
Inventories	(\$ MM)		36.1	35.1	33.3	32.4	31.3	32.8	31.2	
Prepaid Expenses	(\$ MM)		14.4	14.9	14.3	14.9	15.6	16.4	17.0	
Other Assets	(\$ MM)		1.8	1.2	1.4	1.5	1.6	1.6	1.7	
Accounts Payable	(\$ MM)		18.7	18.2	19.0	19.9	20.9	21.9	22.7	
Other Liabilities	(\$ MM)		4.9	4.8	4.8	5.0	5.2	5.5	5.7	
Net Working Capital	(\$ MM)		56.5	56.5	56.6	50.4	51.2	52.0	48.4	
Change in Working Capital	(\$ MM)				\$0.0	(\$0.1)	\$6.2	(\$0.8)	(\$0.8)	\$3.6

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Debt and Interest Schedule

(\$ Millions)

		<i>Projected</i>				
	2022A	2023	2024	2025	2026	2027
FINANCING COMPONENT						
Cash						
Amount Outstanding - Beginning		0.3	0.0	0.0	0.0	0.0
Change in Cash		(0.3)	0.0	0.0	0.0	0.0
Amount Outstanding - Ending	\$0.3	\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Interest Rate		1.0%	1.0%	1.0%	1.0%	1.0%
Annual Interest Income		\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Revolver						
Operating Cash Flow		39.2	29.1	45.6	38.8	29.5
Investing Cash Flow		(16.0)	(17.0)	(17.3)	(17.5)	(18.0)
Mandatory Debt Repayments		(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Common Stock Issuance / (Buy-back)		0.0	0.0	0.0	0.0	0.0
Dividends		(4.3)	(0.9)	(5.5)	(4.0)	(1.1)
FCF After Mandatory Debt Repayment and Dividend		(\$6.1)	(\$13.8)	(\$2.2)	(\$7.7)	(\$14.6)
Revolver Outstanding - Beginning		0.0	5.8	19.6	21.7	29.4
Additions / (Repayments)		5.8	13.8	2.2	7.7	14.6
Revolver Outstanding - Ending	\$0.0	\$5.8	\$19.6	\$21.7	\$29.4	\$44.1
Interest Rate		6.0%	6.0%	6.0%	6.0%	6.0%
Annual Interest Expense		\$0.0	\$0.3	\$1.2	\$1.3	\$1.8
Senior Secured Term Debt						
Amount Outstanding - Beginning		200.0	175.0	150.0	125.0	100.0
Additions / (Repayments)		(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Amount Outstanding - Ending	\$200.0	\$175.0	\$150.0	\$125.0	\$100.0	\$75.0
Interest Rate		6.0%	6.0%	6.0%	6.0%	6.0%
Annual Interest Expense		\$12.0	\$10.5	\$9.0	\$7.5	\$6.0
Net Interest Expense		\$12.0	\$10.8	\$10.2	\$8.8	\$7.8

Blu Containers Company

Shareholders' Equity Schedule

(\$ Millions)

		<i>Projected</i>				
	2022A	2023	2024	2025	2026	2027
Common Shares						
Amount Outstanding - Beginning		120.0	120.0	120.0	120.0	120.0
New Issuance / (Buy-Back)		0.0	0.0	0.0	0.0	0.0
Amount Outstanding - Ending	\$120.0	\$120.0	\$120.0	\$120.0	\$120.0	\$120.0
Dividend Payout Rate		20.0%	20.0%	20.0%	20.0%	20.0%
Net Income		21.3	4.4	27.4	20.0	5.6
Common Dividend		\$4.3	\$0.9	\$5.5	\$4.0	\$1.1
Retained Earnings						
Amount Outstanding - Beginning		138.5	155.6	159.1	181.0	197.0
Net Income		21.3	4.4	27.4	20.0	5.6
Common Dividend		(4.3)	(0.9)	(5.5)	(4.0)	(1.1)
Amount Outstanding - Ending	\$138.5	\$155.6	\$159.1	\$181.0	\$197.0	\$201.5